

METALYZI · 2026 EDITION

The UK Deal Sourcing Masterclass

The complete playbook for finding, analysing and packaging profitable UK property deals — used by professional sourcers.

WELCOME

Sourcing is a numbers game. Most people play it blind.

Every month thousands of would-be sourcers send investors deals that fall apart in five minutes of scrutiny — wrong yield maths, an HMO in an Article 4 area, a lease with a doubling ground rent. The sourcers who get repeat business are the ones whose numbers survive contact with a sceptical investor.

This guide is the full workflow: which strategies investors actually pay for, where real deals come from, the numbers that decide a deal, the checks that kill one, how to package what survives, and the compliance that keeps you in business. Everything is UK-specific and current for 2026.

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One thing before you start: every formula in this guide can be run by hand, and Chapter 3 shows you how. When you want the whole analysis — yield, cashflow, SDLT, Article 4, comparables — in about 60 seconds, Metalyzi does it for free at metalyzi.co.uk.

The 6 strategies investors actually buy

Investors don't buy properties, they buy outcomes: income, equity growth, or a lump-sum profit. Every deal you package should be framed as one of these six strategies — and the numbers an investor checks differ for each.

INCOME · LOWER EFFORT

1. Buy-to-Let (BTL)

Single household, single tenancy. The bread-and-butter strategy and the easiest to finance. Investors typically want 6%+ gross yield in the North and Midlands, or strong growth fundamentals where yield is thinner. Deals live or die on net monthly cashflow after a stressed mortgage payment.

INCOME · HIGHER EFFORT

2. HMO (House in Multiple Occupation)

Room-by-room lets to 3+ unrelated tenants. Double-digit gross yields are common, but so are licensing costs, minimum room sizes and Article 4 restrictions (Chapter 4). Investors ask two things first: is it licensable, and can this postcode actually fill six rooms at your assumed rent?

EQUITY RECYCLING

3. BRRRR (Buy, Refurbish, Refinance, Rent, Repeat)

Buy below market value, add value through refurbishment, refinance onto the new value and pull capital back out. The metric that decides it: money left in after refinance. All-in costs at or below 75-80% of end value is the target that lets an investor recycle most of their deposit.

CAPITAL PROFIT

4. Flip

Buy, refurbish, sell. No tenants, no long-term finance — just margin. Investors want 20%+ profit on cost after ALL costs (purchase, refurb, finance, selling fees, and often a bridging loan at 0.8-1% a month). The 70-75% rule in Chapter 3 is the fastest filter.

INCOME · HOSPITALITY

5. Serviced Accommodation (SA / R2SA)

Short-term lets to contractors, tourists and relocations. Gross income can be 2-3x a single let, but occupancy, management fees (15-20%), bills and platform commission eat much of it. Investors judge SA on realistic occupancy (60-75%, not 90%) and average nightly rate evidence — and increasingly on local restrictions on short-term lets.

CAPITAL PROFIT · ADVANCED

6. Development

Conversions (commercial-to-resi, title splits) through to ground-up builds. Judged on profit on GDV — 15-20% minimum for the risk — plus planning certainty and build-cost contingency (always 10%+). The highest fees for sourcers, and the highest scrutiny from investors.

What this means for you as a sourcer

- Match the deal to the buyer, not the other way round. A great flip is a terrible deal for a hands-off BTL investor.
- Build your buyer list by strategy and area BEFORE you source. A deal with no matched buyer is just homework.
- Learn one strategy deeply first. Sourcers who can answer every HMO question in one area out-earn generalists spread across six strategies.
- Present every deal in the investor's language: entry, income or uplift, exit. Chapter 5 gives you the template.

The 7 channels where real deals come from

"There are no deals on Rightmove" is a myth repeated by people who don't know what to filter for. Every channel below produces real deals — they differ in cost, effort and competition.

1. Estate agents — the relationship channel

Agents hand their best off-market and pre-reduction stock to buyers who complete. Visit in person, be specific ("3-bed terraces needing work, up to 140k, proof of funds ready"), then follow up monthly. One completing purchase makes you a name they call first.

2. Portals with the right filters

Rightmove and Zoopla ARE a deal source if you hunt systematically: listings 90+ days old, price reductions, keyword searches ("refurbishment", "no chain", "cash buyers only"), auctions tab, and sold-price data to spot mispricing. Speed matters — set alerts and view within 48 hours.

3. Direct-to-vendor marketing

Letters and leaflets to targeted streets, empty homes (councils keep registers), landlords with tired stock. Expensive in time and print, but the deals are competition-free and genuinely below market value. Consistency beats volume: 200 letters monthly to the same patch outperforms 2,000 once.

4. Auctions — traditional and modern method

Legal packs published upfront, completion in 28-56 days, and plenty of stock other buyers can't finance in time. The edge is preparation: read the legal pack, price the refurb and set your maximum BEFORE the room. Unsold lots are a negotiation goldmine the day after.

5. Letting agents and exiting landlords

Section 24 tax changes, EPC upgrade costs and higher rates keep pushing accidental landlords out. Letting agents know exactly who wants to sell — often with sitting tenants, which many buyers avoid but investors love. Ask agents about landlords selling "tenant in situ".

6. Probate, solicitors and accountants

Executors usually want speed and certainty over top price. Relationships with local solicitors and accountants surface these quietly. Be respectful, be patient, and never pressure — one well-handled probate purchase generates referrals for years.

7. Networking and other sourcers

Property meetups, investor Facebook groups, and co-sourcing splits with sourcers who have stock but no buyers (or vice versa). This channel compounds: your reputation IS the marketing. Bring analysed deals, not opinions.

Channel strategy

- Pick two channels: one fast (portals, agents) for this month's pipeline, one slow (direct-to-vendor, professional referrals) that compounds.
- Track every lead's source. After 90 days you'll know your cost per deal by channel — most sourcers never measure this.
- Whatever the channel, the analysis is identical: the numbers in Chapter 3 decide, not the source.

The exact numbers that decide a deal

Gross yield — the filter, not the answer

Gross yield = annual rent / purchase price x 100. A £150,000 house renting at £850/month = £10,200 / £150,000 = 6.8% gross. Use it to filter fast; never to buy.

Net yield and monthly cashflow — the truth

Net figures subtract what gross hides: mortgage interest, management (10-12% single let, 15%+ HMO), insurance, maintenance (allow 10% of rent), voids (allow one month a year), and for HMOs: bills, licensing and broadband. This is the number one lesson most new investors get wrong — a 8% gross HMO with full bills can cashflow worse than a 6% single let.

Worked example — £150,000 BTL at £850 pcm

Purchase price	£150,000
Deposit (25%)	£37,500
SDLT (additional-property rates)	£7,500
Legals, survey, broker	£2,500
Total cash in	£47,500
Rent	£850 pcm
Mortgage interest (75% LTV @ 5.5%)	£516 pcm
Management, maintenance, insurance, voids	£187 pcm
Net cashflow	£147 pcm
Return on cash employed	3.7%

That deal passes a 6.8% gross-yield screen and still only just works. Run every deal to net cashflow and return on cash before it goes anywhere near an investor.

The stress test lenders (and smart investors) apply

BTL lenders test that rent covers 125-145% of the mortgage payment at a notional rate (typically 5.5-7%). If rent / (loan x stress rate / 12) is under 125%, the loan shrinks and your buyer needs more deposit — kill or renegotiate the deal.

Flips: the 70-75% rule and profit on cost

Maximum offer = (end value x 0.70 to 0.75) - refurb cost. A house worth £200,000 done-up, needing £30,000 of work: offer no more than £200,000 x 0.75 - £30,000 = £120,000. Then verify with a full appraisal: profit after purchase costs, refurb + 10% contingency, bridging interest and selling costs should clear 20% on total cost.

BRRRR: money left in

After refinancing at 75% of the new value, how much of the investor's cash stays in the deal? Buy £110,000 + £25,000 refurb + £8,000 costs = £143,000 all-in. Revalued at £165,000, a 75% remortgage returns £123,750 — leaving £19,250 in for a property worth £165,000. That's the number BRRRR investors buy.

SDLT — never estimate it

Additional-property surcharge applies to almost every investor purchase in England and NI (Scotland's ADS and Wales's higher LTT rates differ), and rates step at band thresholds. A wrong SDLT figure in a deal pack destroys credibility instantly — calculate it per-deal, per-nation, at current rates.

The 60-second version

Metalyzi runs every number on this spread — gross/net yield, stressed cashflow, SDLT by nation, flip margin, BRRRR money-left-in — from a Rightmove link or postcode, in about a minute, free at metalyzi.co.uk.

Article 4, lease traps & due diligence

Chapter 3 decides whether a deal is worth pursuing. This chapter is what stops a "great deal" becoming a very expensive lesson.

Article 4 directions — the HMO killer

Converting a family home (use class C3) to a small HMO (C4, 3-6 occupants) is normally permitted development. An Article 4 direction removes that right, so the conversion needs full planning permission — which councils in Article 4 areas routinely refuse. Whole cities (much of Greater Manchester, Birmingham, Nottingham, Leeds and most university towns) are covered.

- Check BEFORE offering: the council's planning policy pages, or Metalyzi's free Article 4 checker covers every English council on one map.
- An existing, licensed HMO in an Article 4 area can be MORE valuable (supply is capped) — but verify the use is established or lawful, ideally with a Certificate of Lawfulness.
- Larger HMOs (7+ occupants, sui generis) always need planning, Article 4 or not.

Leasehold traps

- Short leases: under ~85 years, extension costs start to bite and mortgage choice shrinks. Price the extension into your offer, and check the lease length ON THE TITLE, not the listing.
- Ground rent: doubling clauses and rents that can exceed £250/year (which historically created assured-tenancy risk) still poison resale and lending on older leases, even after the 2022 reforms zeroed rents on NEW leases.
- Service charges and major works: ask for 3 years of accounts and any planned (s20) works. A £15,000 roof levy lands on whoever owns the flat when the bill drops.
- Cladding: flats in buildings over 11m need clear EWS1 / remediation status or lenders walk away.

The due diligence checklist

Run every deal through this list before it reaches an investor. Each item has killed real deals.

- Title check (Land Registry, ~£7): correct seller, boundaries, covenants, easements, charges.
- Tenure: freehold or leasehold? If leasehold — years remaining, ground rent schedule, service charge.
- Article 4 / planning: HMO restrictions, conservation area, listed status, relevant planning history.
- Licensing: mandatory HMO licensing, plus any ADDITIONAL or SELECTIVE licensing schemes on the street.
- EPC: current rating and realistic cost to reach C — proposed MEES rules make sub-C stock a pricing factor.
- Flood risk (gov.uk flood map) and any history of subsidence or mining in the area.
- Sold comparables: 3+ genuinely comparable sales for value, not asking prices.
- Rental evidence: actual achieved rents (letting agents, SpareRoom for rooms), not portal asking rents.
- Refurb estimate: walked, itemised, plus 10-15% contingency — never a guess per square metre alone.
- Chain and vendor position: why are they selling, and can they actually complete on your timeline?

None of this replaces the buyer's solicitor — it makes sure the deals you package don't die in conveyancing, which is where sourcer reputations go to die.

Packaging deals investors say yes to

Investors say yes to packs that answer their next question before they ask it. A proper deal pack is one PDF, sent once, that a stranger could underwrite without phoning you.

The deal pack, in order

- One-line summary: strategy, area, entry, headline return. ("6-bed licensed HMO, NG7, 18k below market, 14.2% gross".)
- The numbers: full acquisition costs including SDLT, funding structure, net monthly cashflow, return on cash — with your assumptions stated.
- Evidence: sold comparables for value, achieved-rent evidence, photos, floorplan.
- Refurb scope and itemised estimate with contingency.
- Risks — stated plainly, each with a mitigation. Hiding a risk an investor later finds ends the relationship.
- Area snapshot: demand drivers, licensing position, Article 4 status.
- Exit options: refinance, resale, plan B if the primary exit slips.
- Your terms: fee, what it includes, refund conditions, next steps and deadline.

Pricing your fee

UK sourcing fees typically run £2,000-£5,000 per deal (higher for developments), either fixed or ~2-3% of purchase price. Charge on exchange or completion, hold reservation fees in line with your client-money arrangements (Chapter 6), and put refund terms in writing before taking a penny.

Why packs fail

- Asking-price comps instead of sold prices — the first thing a serious investor checks.
- Round-number refurb guesses ("about 20k") with no itemisation.
- Best-case-only numbers: no voids, no maintenance, mortgage at today's cheapest rate.
- No stated assumptions — if the investor can't see them, they assume the worst.

Compliance most sourcers get wrong

Deal sourcing is estate agency work in the eyes of UK law. Most "sourcers" operating from Instagram are non-compliant, uninsured and one complaint away from a fine. Doing this properly is neither hard nor expensive — and it's a genuine selling point with serious investors.

The five registrations that make you legitimate

- Property redress scheme — membership of the Property Redress Scheme or The Property Ombudsman is legally required for anyone introducing buyers and sellers. Fines up to £5,000 for operating without it.
- HMRC anti-money-laundering (AML) supervision — required for estate agency business, with written risk assessments and ID checks on clients. Trading unregistered is a criminal offence.
- ICO registration — you hold vendors' and investors' personal data, so you pay the data protection fee and handle data under UK GDPR.
- Professional indemnity insurance — covers you when a deal you packaged goes wrong. Serious investors ask for your policy before paying a fee.
- Client money protection — if you hold reservation fees or deposits, hold them in a protected client account (CMP scheme). Better: structure fees so you never hold client money at all.

And in your marketing

- No guaranteed returns, ever. "Guaranteed 12% ROI" breaches advertising rules and, where investments are involved, can stray into financial promotions territory.
- State fees clearly before commitment, keep written terms, and honour cooling-off rights on distance contracts.
- Company basics: registered company, business bank account, clear complaints procedure. Boring, and exactly what repeat investors check.

PUT IT INTO PRACTICE

You now know how to analyse a deal by hand.

Every formula in Chapter 3, every check in Chapter 4 — that's the manual workflow professional sourcers run on every deal. It takes about an hour per property once you're fluent.

Metalyzi runs the same analysis in about 60 seconds: paste a Rightmove link or an address, get yield, stressed cashflow, SDLT, deal score, Article 4 status, sold and rental comparables — and a branded investor pack.

Try Metalyzi free — metalyzi.co.uk/analyse

3 free analyses a month. No card required.

Important — read this bit

This guide is general education, not financial, legal, tax or investment advice, and no content herein is a financial promotion or a recommendation to buy any property or investment. Property values and rents can fall as well as rise. Figures, rates, tax bands and regulations are illustrative, change frequently, and differ between England, Wales, Scotland and Northern Ireland — verify everything independently and take regulated professional advice before acting. Metusa Property Ltd accepts no liability for decisions made in reliance on this guide.

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